# Alembic Pharmaceuticals Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: APLLTD · BSE: 533573 · Report prepared 11 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

## 1. Snapshot

**What the business does:** Alembic is a Vadodara drug maker with four parts. It sells generic medicines in the US (copies of off-patent drugs, approved through ANDAs, a US generic-drug approval), branded medicines in India through doctors, generics in Europe and other markets, and APIs (drug ingredients) to other companies. It has a fast-growing Indian animal-health business and has just started a small US branded-drug arm (Alembic Therapeutics, with the urinary infection drug Pivya). Over the last few years it built several new plants for injectables, cancer drugs and eye drops, which are now filling up.

| Measure | Value | What it means in plain words |
|---|---|---|
| Market cap | ₹20,328 cr | What the market values the whole company at, ₹1,034 a share, near its 52-week high. |
| Q2 FY27 revenue | ₹2,603 cr | Consolidated sales in the September quarter, up 36% on the year. Its best quarter. |
| Q2 FY27 operating margin | 22.2% | About 22 paise of operating profit (EBITDA) per rupee of sales, up from 17% a year ago. Helped by a one-time exclusive US launch. |
| Q2 FY27 profit | ₹335 cr | Up 81% on the year. |
| FY26 revenue | ₹6,651 cr | Full year to March 2026, up 10%. Trailing twelve months now ₹7,621 cr (Screener standalone basis). |
| Net debt | ₹1,236 cr | Less than one year of operating profit; comfortable. It rose after the plant-building cycle and longer US payment terms. |
| P/E | 20 | The price is 20 times last year's profit, moderate for Indian pharma. |
| Promoter holding | 69.9% | Steady, ticking up slightly. |

Screener's quarterly table is standalone (₹2,392 cr revenue, 26% margin for Q2). This report uses the consolidated figures management quoted on the call.

## 2. Concall coverage

| Quarter | Call date | Transcript read? |
|---|---|---|
| Q2 FY24 → Q3 FY26 (10 calls) | Nov 2023 to Feb 2026 | Yes, skimmed for promises and guidance |
| Q4 FY26 | 15 May 2026 | Yes |
| Q1 FY27 | Aug 2026 | Yes, read in full |
| Q2 FY27 | 4 Nov 2026 | Yes, latest call, read in full ★ |

About three years of quarterly calls.

### ★ Latest concall highlights - Q2 FY27 (call held 4 Nov 2026)

- **Guidance raised.** FY27 revenue growth lifted to 20-25% from mid-teens. US business now seen up to 40% for the year, API at least high teens.
- **US generics up 72%.** Bosutinib (a cancer drug where Alembic has 180-day exclusivity, ending late November) did far better than expected. Without the new launches, the base US business still grew 23%. More than 30 launches are lined up over 18 months, a quarter of them first-to-file or shared day-one.
- **India back to double digits.** India grew 14%, human health 11%, animal health 23%. Chronic and specialty brands beat the market; acute is still lagging. Target: match market growth in two to three quarters without adding sales reps.
- **New US deal with DifGen**: access to 20-plus complex products (skin patches, complex injectables, eye drugs) on profit share, from FY28.
- **Margins:** about 22% expected to hold for the rest of FY27; US branded business losses (150-200 basis points of drag) should stop by early FY28. FY28 US growth seen at about 10-12% after this year's high base.

**Business mix & capacity. Domestic vs export:** the call didn't give a split. It has four sales legs: India branded, US generics, other export markets and API. US branded is about 3% of US sales. Plain read: well spread, with the US as the swing factor. **Capacity:** no utilisation figure given; management says the new plants built in the last few years "have ramped up already" and the major capex cycle is over, with only debottlenecking ahead. Plain read: growth now comes from filling plants already paid for.

### ★ 3. Earning-trigger thesis

Alembic spent years and a lot of money building new injectable, cancer-drug and eye-drop plants that sat underused and kept margins down. Those plants are now filling with US launches, and the cost was already sunk, so extra sales drop largely into profit. That's why the base US business grew around 23% even without the bosutinib windfall. India, which lagged the market for two years, is improving after sales changes. The catch is the windfall: bosutinib exclusivity ends in November, so a chunk of this quarter's jump won't repeat, and management itself sees US growth slowing to 10-12% next year.

| Trigger | What management said | Evidence so far | Horizon | Strength |
|---|---|---|---|---|
| Filling new plants with US launches | 30-plus launches in 18 months; major capex behind us | Base US +23%; margin from 17% to 22% | Now → 2 yrs | Strong |
| Bosutinib exclusivity | "Far higher than expectations"; exclusivity to end November | Big part of the 72% US jump | 1 qtr | One-off |
| India recovery | Match market growth in two to three quarters | India +14%, chronic ahead of market | 2 to 4 qtrs | Moderate |
| US branded and DifGen | Branded breakeven by early FY28; DifGen from FY28 | Branded about 3% of US sales | 1 to 3 yrs | Unproven |

## 3b. Trigger check

| Trigger type | Yes/ No | What was said (date) |
|---|---|---|
| Debt cut | No | "Net debt remains comfortable at INR1,236 crores"; no repayment plan stated (4 Nov 2026) |
| New business | Yes | DifGen deal for 20-plus complex US products from FY28; US branded arm scaling (4 Nov 2026) |
| Margin up | Yes | "EBITDA margin expanded by around 520 basis points from 17%... to 22.2%" (4 Nov 2026) |
| New management | No | Same MD and CFO; India sales leadership changed in earlier quarters |

| | | |
|---|---|---|
| New capacity | Yes | New plants built over recent years "have ramped up already", with operating leverage (4 Nov 2026) |
| Big orders | No | Not an order-book business |
| Turnaround | No | Not framed as one |
| Promoter buying | No | Not mentioned |

**Single concrete driver:** new injectable, cancer and eye-drop plants built in recent years are now filling with a steady run of US generic launches, so extra sales add mostly profit.

## 3c. Margin bridge

Margin is 22.2% now against 17% a year ago. Reasons given: operating leverage as the new plants fill, a richer mix from new US launches (bosutinib above all), and R&D spending kept in check. Higher freight and solvent costs were offset by a weaker rupee. Part of it is the bosutinib windfall, which fades after November, but management expects about 22% for the rest of the year and talks of near 20% as the normal level from FY28 (partly one-off).

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| May 2025 | US double-digit growth; new plants to lift margins back toward 18-20% | US grew; margin now 22% (with help from bosutinib) | Delivered |
| Nov 2025 | R&D spend held at ₹600-650 cr for FY26 | Held within range | Delivered |
| Nov 2025 | "In the next couple of years, get to a 20% EBITDA level" | Reached within a year, though helped by a one-off launch | Delivered |
| FY25 to FY26 | India branded to catch up with market growth | Lagged the market for about two years; only now back to double digits, acute still behind | Partly |
| May 2026 | Pivya drag to fade by end FY27 | Now "by end of this year or first half of next year" | Slipping |
| Aug 2026 | FY27 revenue growth mid-teens | Beaten and raised to 20-25% in Nov 2026 | Delivered |

**Narrative drift.** Low. For three years the story has been the same: build plants, accept lower margins, then fill the plants with US launches. That's now happening. Management doesn't over-promise; it often declines to give product-level forecasts. The two soft spots are India, where the catch-up took longer than hoped, and the US branded arm, whose breakeven has nudged out a little.

## 5. Bottom line - two verdicts

### Durable earning trigger? → YES

The plants are built and paid for, and they're filling. Base US sales grew in the 20s for two quarters straight, before the bosutinib bonus, and 30-plus launches are lined up, a quarter of them with exclusivity of some kind. India's improving too. The honest caveat: this quarter's headline growth is flattered by bosutinib, which fades after November, and next year's US growth is guided much lower. The driver is real; the pace will cool.

### Management consistent? → YES

Most of what they said came true: margins back to 20% plus, R&D on budget, guidance beaten and raised. The story hasn't changed in three years. Misses are smaller: India's catch-up took longer than promised, and US branded breakeven has slipped a few months. Neither changes the picture.

## ★ 6. Checkpoints for next quarter

- US sales hold up after bosutinib exclusivity ends in November
- India branded growth matches or beats the market
- Operating margin stays near the first-half level, as guided

Sources: Alembic Pharmaceuticals earnings call transcripts Nov 2023 to Nov 2026 (latest 4 Nov 2026, filed 10 Nov 2026), sourced from Screener.in; Screener.in financials and shareholding.